

HOUSE BILL NO. 324

INTRODUCED BY S. FITZPATRICK

A BILL FOR AN ACT ENTITLED: "AN ACT REVISING VOLUNTARY PAYMENTS LAWS TO INCLUDE ALL CLAIMS; REVISING LEGISLATIVE POLICY FOR VOLUNTARY PAYMENTS TO INCLUDE ALL CLAIMS; PROVIDING THAT CERTAIN BAD FAITH INSURANCE ACTIONS DO NOT APPLY TO VOLUNTARY PAYMENTS; AMENDING SECTIONS 26-1-701, 26-1-703, AND 26-1-706, MCA; AND PROVIDING AN APPLICABILITY DATE."

BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

Section 1. Section 26-1-701, MCA, is amended to read:

"26-1-701. Legislative policy. The legislature declares that the health, welfare, and safety of the people of the state of Montana would be enhanced by the expeditious handling of ~~liability~~ claims. The legislature further declares that the handling of ~~liability~~ claims would be expedited if voluntary payment by or on behalf of one person to or on behalf of a person who ~~has sustained injury to that person or damage to that person's property could possess a claim~~ may not be construed as an admission of fault or liability as to any claim ~~arising out of the occurrence that gave rise to the injury or damage.~~"

Section 2. Section 26-1-703, MCA, is amended to read:

"26-1-703. Voluntary partial payment of claim not an admission of fault or waiver. (1) No A voluntary partial payment of a claim against any person based on alleged liability of that person ~~for injury to person, including death, or damage to property arising out of any occurrence shall~~ may not be construed as an admission of fault or liability or as a waiver or release of claim by the person to whom or in whose behalf such ~~the~~ payment was made. ~~No A~~ voluntary partial payment ~~shall~~ may not be construed to reduce the amount of damages ~~which that~~ may be pleaded or proved in any action arising out of ~~such the~~ occurrence.

(2) This section does not apply to actions brought under 33-18-201 or 33-18-242.

(3) This section does not apply to proceedings to determine attorney fees relating to breach of

1 contract, including but not limited to proceedings involving:

2 (a) offers of judgment; or

3 (b) claims seeking attorney fees from an insurer."

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5 **Section 3.** Section 26-1-706, MCA, is amended to read:

6 **"26-1-706. Effect of payment on judgment.** After entry of a judgment in an action for damages for
7 personal injuries, including death, or for damage to property arising out of any occurrence, any voluntary partial
8 payment ~~theretofore made shall up to that time must~~ be treated as a credit against ~~such the~~ judgment and shall
9 must be deductible from the amount of ~~such the~~ judgment. If after partial voluntary payments are made as
10 ~~herein provided for in this section, it shall must~~ be determined by a court of competent jurisdiction that the
11 person who made ~~such the~~ payments or on whose behalf ~~such the~~ payments ~~were are~~ made is liable for an
12 amount ~~which that~~ is less than the amount of the voluntary payments already made, ~~such the~~ person ~~shall may~~
13 not have ~~no a~~ right of action for the recovery of the amount by which the voluntary payments exceeded the
14 amount of the judgment."

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16 NEW SECTION. **Section 4. Applicability.** [This act] applies to liability claims in which a cause of
17 action has accrued on or after October 1, 2025.

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